MORNING BRIEFING

Monday, 31 August 2026 | Generated ~07:15 London time (BST) | Pre-European-open

UK Summer Bank Holiday today — LSE cash equities closed. FTSE 100 figures below are last close (Fri 28 Aug) / indicative futures only.

1. HEADER

Report date: 31 August 2026. Collection window: overnight US session (Fri 28 Aug close, no weekend trading) through Monday Asian close and early European pre-open, London time. All figures below are sourced from web searches run this session; see footer for sources and collection notes.

2. IMPORTANT NEWS

US forces strike Iranian rocket launchers on Larak Island, Strait of Hormuz

CNBC, Al Jazeera, Euronews, Investing.com — 30-31 Aug

First acknowledged US strike on Iranian positions in weeks; IRGC reports casualties and warns of a "retaliatory response." Reprices Hormuz escalation risk on a route carrying roughly one-fifth of global oil shipments. Oil jumped and futures turned risk-off overnight.

Fed Chair Kevin Warsh's hawkish Jackson Hole speech lifts September hike odds

CNBC, Washington Post, Forbes — 28 Aug

Warsh said the Fed has "work to do" on inflation. CME FedWatch-implied odds of a 25bp September hike rose to roughly 60%, from the mid-30s/50s just days earlier. Dollar firm, gold pulled back from weekly highs, Treasury yields ticked up.

Wall Street closes lower Friday as investors digest Warsh remarks

CNBC, Washington Post, Yahoo Finance — 28 Aug close

S&P 500 -0.25%, Dow -0.02%, Nasdaq -0.52%. Tech still up almost 6% for the month on AI strength, but Friday's hawkish repricing capped the week. Sets a cautious tone into Monday.

European equities finish Friday mixed to lower; DAX the outlier

Newsquawk, Trading Economics — 28 Aug close

CAC 40 -1.68%, Euro Stoxx 50 -0.73%, FTSE 100 -0.79%, DAX +0.27%. French weakness stands out; German large caps held up better into month-end.

Asian markets fall broadly Monday on Hormuz escalation and rate jitters

CNBC — 31 Aug

Nikkei -0.57%, Hang Seng -0.71%, CSI 300 -0.81%, Kospi -0.52%, ASX 200 -0.26%. Sets a soft handoff into the European open, reinforced by UK's bank holiday thinning liquidity today.

3. EUROPEAN FUTURES (PRE-OPEN)

INSTRUMENT	LEVEL	MOVE	COLLECTED
Euro Stoxx 50 futures	~6,564 (range 6,551–6,586)	Session range, muted	~07:00 BST — Investing.com
DAX futures	~26,495	**-0.06%**	~07:00 BST — Eurex/TradingView
CAC 40 futures	n/a	n/a	not reliably sourced this session
FTSE 100 futures	n/a	n/a	LSE cash closed (bank holiday); no reliable futures print sourced
S&P 500 futures (context)	n/a level	**-0.36%**	~06:00 BST — CNBC/Bloomberg
Nasdaq-100 futures (context)	n/a level	**-0.40%**	~06:00 BST — CNBC/Bloomberg
Dow futures (context)	n/a level	**-155pts / -0.29%**	~06:00 BST — CNBC/Bloomberg

4. YESTERDAY'S CLOSES (FRIDAY 28 AUGUST — LAST SESSION, NO WEEKEND TRADING)

INDEX	CLOSE	CHANGE
Euro Stoxx 50	6,424	**-0.73%**
DAX 40	26,356	**+0.27%**
CAC 40	8,320	**-1.68%**
FTSE 100	10,793	**-0.79%**

Source: Newsquawk daily European equity note, Trading Economics — 28 Aug close.

5. US MARKETS — YESTERDAY'S SESSION (FRIDAY 28 AUGUST)

INDEX	CLOSE	CHANGE
S&P 500	7,711.76	-0.25%
Dow Jones Industrial Average	53,559.99	-0.02% (-9.45pts)
Nasdaq Composite	26,402.42	-0.52%

Tone: Risk-off drift into the close as markets digested Kevin Warsh's hawkish Jackson Hole remarks. All three benchmarks fell, though August as a whole stays positive on AI-driven tech strength.

Leading/lagging sectors: Tech sector up almost 6% month-to-date on AI names; granular Friday sector leader/laggard data not reliably sourced this session (n/a).

Key takeaway: Markets are repricing a higher-for-longer path after Warsh. September Fed-hike odds near 60% versus the mid-30s a week ago is the dominant driver into this week.

6. ASIAN MARKETS — OVERNIGHT SESSION

INDEX	CHANGE
Nikkei 225	-0.57%
Hang Seng	-0.71%
Shanghai Composite	-0.81% (CSI 300 proxy; Shanghai Composite specific print not separately sourced)
Kospi	-0.52%

Tone: Broad-based weakness across the region. Drivers: the Larak Island strike and Strait of Hormuz escalation, plus follow-through from Friday's hawkish Fed repricing. Mainland China underperformed the region.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	COLLECTED
Brent crude	$90.32/bbl	**+2.52% (+$2.22)**	~07:00 BST — CNBC/Investing.com
WTI crude	$85.41/bbl	**+2.41% (+$2.01)**	~07:00 BST — CNBC/Investing.com
Gold	~$4,550-4,560/oz (Fri close area)	**Pulled back from weekly highs**	Fri 28 Aug close; today's print n/a — not reliably sourced
Natural gas (EU TTF)	66.47 EUR/MWh	**-2.63%**	28 Aug — Trading Economics
Copper	$6.54/lb	**-0.28%**	30 Aug — Trading Economics

Both oil benchmarks jumped after the US strike on Iran's Larak Island near the Strait of Hormuz, a route handling roughly a fifth of global oil shipments. Gold's pullback reflects the stronger dollar and higher rate-hike odds following Warsh's Jackson Hole remarks; the Hormuz escalation is a fresh safe-haven offset to watch today.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE
US 10Y Treasury yield	~4.69%	**+1.5bp (Fri close was 4.72%)**
German 10Y Bund yield	3.29%	**Highest since May 2011**
EUR/USD	1.1586	n/a (level only)
GBP/USD	~1.359 (last available, 27 Aug)	today's print n/a
DXY (Dollar Index)	99.49	**Firm, underpinned by higher yields**

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES

Deal-by-deal terms (issuer, size, maturity, coupon/spread, IPT-to-pricing move) for Friday 28 August were not reliably sourced this session — marked n/a. Confirmed market color: investment-grade issuance hit a record August pace above $145bn, with Europe's busiest post-summer restart on record and financials particularly active.

PIPELINE / EXPECTED THIS WEEK

Specific mandates for this week not reliably sourced — n/a. General expectation: SSA issuers are guided toward EUR 310-320bn of benchmark supply for full-year 2026 and are expected to keep frontloading; September typically brings a sharp pickup in IG and financials supply after the August lull.

KEY SPREADS

INDEX	LEVEL	DIRECTION
iTraxx Crossover (5Y)	~318bp (last reliable print: mid-May 2026)	stale — today's level n/a
iTraxx Main	n/a	n/a
CDX IG	n/a	n/a
Avg. euro corporate IG spread	~80bp (late Aug)	WIDENING

COMMENTARY

The primary window stayed technically open through record August volumes, but average euro IG spreads have widened toward 80bp as heavy supply tests thinner post-summer liquidity. Today's Hormuz escalation and the firmer rate-hike odds from Warsh's Jackson Hole speech are fresh headwinds for risk appetite. Expect issuers, especially in energy and transport-adjacent credits, to watch order books closely; financials and SSA names look better placed than industrials to price cleanly this week.

10. ECONOMIC CALENDAR

TIME (LONDON)	INDICATOR	CONSENSUS	IMPORTANCE
UK: no releases — market closed for Summer Bank Holiday.			
Eurozone/US: calendar for today is light (month-end Monday). Eurozone flash HICP (Aug) and US ISM Manufacturing PMI (Aug) are both due tomorrow, Tuesday 1 September — not today's releases.			
n/a	No further high/medium-importance releases reliably confirmed for today	n/a	MEDIUM

11. CORPORATE EVENTS & EARNINGS

No major European or US earnings reports or AGMs were reliably confirmed for today (Monday 31 August), consistent with the UK holiday and a typically thin month-end Monday slate. Earnings flow is expected to pick up later this week (n/a for specific confirmed names today).

12. STOCKS TO WATCH

Rheinmetall (RHM.DE)	Aerospace & Defense. Sector-wide bid from renewed Iran-Hormuz escalation; recently won a c.€1bn military transport-vehicle order.	**Higher**
Thales (HO.PA)	Aerospace & Defense. Part of the European defense complex catching a bid on Middle East risk.	**Higher**
Leonardo (LDO.MI)	Aerospace & Defense. Same Hormuz-driven defense-sector tailwind.	**Higher**
BAE Systems (BA.L)	Aerospace & Defense. LSE cash closed today (bank holiday); watch for a catch-up move on Tuesday's reopen.	n/a today (market closed)
Exxon Mobil / Chevron (XOM, CVX)	Energy. Brent above $90 on the Larak Island strike; both carry Street "Strong Buy" ratings per recent coverage.	**Higher**
Frontline (FRO)	Shipping / Tankers. Strait of Hormuz transit risk historically lifts tanker freight rates and tanker equities.	**Higher**
ArcelorMittal (MT)	Metals & Mining. One of 2026's top Stoxx 600 performers (+65% YTD through early Aug) on strong Q2 results; momentum name to watch.	**Higher / momentum**
Airbus (AIR.PA) / Boeing (BA)	Aviation & Aerospace. In focus as European and US defense spending stays elevated alongside commercial order flow.	Mixed
European banks (broad)	Banks. Higher-for-longer rate repricing after Warsh's hawkish Jackson Hole remarks is broadly NIM-supportive; no single confirmed name-specific catalyst today.	**Modestly higher**

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

Fed Chair Kevin Warsh's hawkish Jackson Hole speech ("we have work to do" on inflation) lifted implied September rate-hike odds to roughly 60%.

German 10Y Bund yield at 3.29%, its highest since May 2011.

Eurozone flash HICP and US ISM Manufacturing PMI both due tomorrow, 1 September.

CORPORATE

Record August pace for European and US investment-grade bond issuance (above $145bn), the busiest post-summer restart on record.

AI-driven tech M&A continues; reported deal activity includes SpaceX's acquisition of Cursor, adding meaningfully to its AI/ARR base.

ArcelorMittal, Raiffeisen Bank International and Saipem rank among 2026's best-performing Stoxx 600 names on strong H1/Q2 results.

POLITICAL / GEOPOLITICAL

US strikes on Iranian rocket launchers on Larak Island mark the first acknowledged US action against Iran in weeks; IRGC has warned of retaliation.

Strait of Hormuz risk is back at the center of energy-market concern given its share of global oil flows.

UK Summer Bank Holiday keeps London markets shut today, thinning regional liquidity.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. Hormuz escalation. Larak Island strike repricing oil and safe-haven demand intraday.

2. Thin UK liquidity. Bank holiday closes LSE cash equities, likely dampening pan-European volume.

3. Fed repricing follow-through. Dollar firm and gold soft as September hike odds sit near 60%.

4. Defense/energy rotation. Sector bid in defense and energy names on geopolitical risk.

5. DCM order-book watch. Gauging investor appetite as record August supply meets month-end.

THIS WEEK'S TOP 5

1. ISM Manufacturing (Tue). First read on US factory activity since Warsh's hawkish pivot.

2. Eurozone flash CPI (Tue). Sets the tone for ECB expectations into September.

3. September DCM wave. Primary issuance historically accelerates sharply after Labor Day/month-end.

4. Hormuz trajectory. Watch for further US-Iran exchanges or signs of de-escalation.

5. US payrolls (Fri). Key input for the September FOMC decision.

THIS MONTH'S TOP 5

1. September FOMC. Hike odds near 60%; decision is the month's key rates event.

2. Q3 earnings pre-announcements. First guidance updates start shaping Q4 positioning.

3. Hormuz oil-supply impact. Durability of the transit route is a live inflation and growth risk.

4. European fiscal headlines. Autumn budget season in France and the UK back in focus.

5. AI capex/M&A wave. Continued deal flow (e.g. SpaceX-Cursor) keeps shaping tech-sector leadership.

15. KEY TRENDS TO WATCH

1 DAY

Hormuz headline flow, cash-open follow-through in US futures, oil and gold moves, and thinner UK-holiday liquidity across European desks.

1 WEEK

ISM Manufacturing and Eurozone flash CPI (Tue), the pace of the September DCM reopening, US payrolls (Fri), and any Iran-US de-escalation signal.

1 MONTH

The September FOMC decision, Q3 earnings season kickoff, the durability of Strait of Hormuz oil flows, and the ongoing AI capex/M&A cycle.

Sources: CNBC, Bloomberg, Reuters/Investing.com, Al Jazeera, Euronews, Washington Post, Forbes, Newsquawk, Trading Economics, Eurostat, ISM, GlobalCapital/fi-desk (The DESK), Yahoo Finance, MarketScreener, Simply Wall St, Benzinga.

Data collected automatically via web search on 31 August 2026, approx. 06:00-07:15 London time (BST). Several data points are marked n/a where a reliable same-day source could not be found, per policy — no figures were estimated or invented. Verify before making any decision.